Meanwhile the search for a Deputy continued and some Directors proposed Parekh's name. Shroff did not think that Parekh would leave his broking firm since not long ago Parekh had declined an offer from the New India Assurance Company. While Birla did not know Parekh, the latter's excellent reputation had preceded him. Birla asked a few brokers who were close to him (Birla) to test the waters and sound Parekh about the offer.

Contrary to Shroff's misgivings, Parekh was interested in the offer. In his own words, 'It would be a change from broking. I spoke to my boss, expressing my willingness to consider it, especially as his own son had just joined the firm and I had no aspiration to own the firm built up by my boss. I was well settled in the firm, liked by my boss's family and was respected in the market. But when a challenge came before me, I was not averse to a somewhat different career. I was interviewed by a committee of the Board which selected me.'[13] Parekh's appointment was cleared by a sub-committee specially appointed for this purpose. He was called to Calcutta for a final interview with Sir Ramaswami Mudaliar who cleared him for the job. More importantly, Beale who had been made part of the decision-making process this time also gave Parekh's appointment the thumbs up. Parekh received his letter of appointment in March 1956 and joined in the same month.

In April 1958, Beale completed his three-year term and it was time to look for another General Manager. The World Bank was still in favour of another expatriate, but Parekh made it clear that he would not stay as Deputy to another expatriate. The Board was persuaded by Shroff not to let Parekh go since in his opinion Parekh had the right temperament and experience to become a successful development banker. Given their experience with Beale, it would not have required much persuasion: Parekh became General Manager with the full support of the Board. As Parekh observed many years later, 'I felt convinced that a citizen of India was the proper person to run a national institution. I got on reasonably well with the General Manager under whom I worked for two years. He was not an easy person to work with, but he respected my knowledge and judgment, though he was a suspicious person by nature and did not even give me any signing powers. I did not care, nor did I bargain about the terms of my appointment, which were less than half of what he got.'